

CH – 1 ACCOUNTING BASICS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 3 [Introduction to Financial Statements]

1. Which of the following best describes the purpose of the Statement of Financial Position?
 - A. It shows the performance of the company over a period of time.
 - B. It provides details about the company's cash inflows and outflows.
 - C. It provides a snapshot of the company's financial position at a specific point in time.
 - D. It reports changes in shareholders' equity over the year
2. Sale of Goods on cash to Mr Zain involves following accounting elements:
 - (a) Asset and Liability
 - (b) Only Income
 - (c) Asset and Income
 - (d) Only Assets
3. Which of the following account relates to statement of financial position
 - (a) Bank Loan
 - (b) Salaries
 - (c) Bank interest
 - (d) None of above
4. What is the primary purpose of the Statement of Comprehensive Income?
 - A. To show the company's cash flows
 - B. To show the company's income and expenses over a period of time
 - C. To show the company's assets and liabilities at a point in time
 - D. To show the company's assets and expenses for the year
5. Which of the following is an element of the statement of financial position?
 - (a) Income
 - (b) Expense
 - (c) Gains
 - (d) Liabilities
6. Which from the following is not a current asset?
 - (a) Motor Vehicle
 - (b) Bank balance
 - (c) Cash
 - (d) Trade receivables
7. Which from the following is not a non-current asset?
 - (a) Furniture
 - (b) Building
 - (c) Bank balance
 - (d) Computer
8. Economic resources controlled by a business are called
 - (a) Assets
 - (b) Liability

14. Which account represents an expense?
- a) Bank Loan
 - b) Wages Paid
 - c) Cash at Bank
 - d) Trade Receivable
15. Which of the following pairs are both expenses?
- a) Rent Expense & Salaries Expense
 - b) Bank Loan & Rent Expense
 - c) Trade Payables & Purchases
 - d) Motor Vehicle & Rent Expense
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